which threatened the smooth functioning of global payment systems, and exacerbated financial vulnerability. The point is that every country in the world needs dollar reserves just because the dollar is the underlying currency for a preponderant portion of global trade and finance. The turmoil in the currency markets was a result of this total dependence on the dollar as the world's sole reserve currency.

To mitigate the risk of overseas dollar liquidity crunch, the US Federal Reserve provided bilateral swap arrangements for some countries. The aim was to improve liquidity conditions in the US as well as in foreign financial markets by providing foreign central banks with the capacity to deliver US dollar funding to institutions in their respective jurisdictions in times of stress. But such an accommodation was restricted to hard currencies, and largely to OECD countries. We requested a similar rupee–dollar swap arrangement, but the Federal Reserve did not respond positively. Although they never said it in so many words, I believe their reluctance was either because the rupee is not a freely convertible currency or because our financial markets were not important from the US perspective.

Given the turmoil caused by this dependence on the dollar, it was not surprising that when, in early 2009, Governor Zhou Xiaochuan of the People's Bank of China floated the idea that the SDR issued by the IMF could be an alternative to the dollar, it created ripples in global policy circles and financial markets.

The agitation about this excessive dependence on the dollar was not confined to emerging markets. In fact, in 2011, when France was the chair of the G20, President Nicolas Sarkozy had even appointed a task force with a mandate of finding a solution to the sole reserve currency issue, with a not-too-unsubtle message that the task force should explore ways in which the euro could become an alternative reserve currency. As it happened, that task force lost its momentum, as the eurozone sovereign debt crisis erupted in 2011 and continued to convulse the global economy in the following years.

Can the yuan challenge the primacy of the greenback in the global system? After listening to the Chinese authorities in the G20, IMFC, BRICS